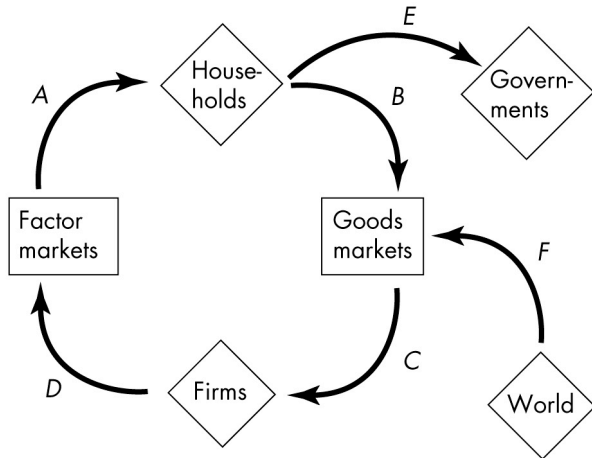


Principle of Macroeconomics ECON 2220
Spring 2022, UNO
Test 2, Sample

Name: _____

ID: _____

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.



1) In the above figure, flow *B* represents _____.

- A) household borrowing
- B) household income
- C) household purchases of goods and services
- D) firms' payments for labor services

1) _____

Item	Millions of dollars
Personal consumption expenditure	80
Government expenditure on goods and services	30
Net taxes	35
Gross private domestic investment	20
Imports of goods and services	10
Exports of goods and services	20

2) Use the information in the table above to calculate the value of net exports.

- A) \$0
- B) \$10 million
- C) \$30 million
- D) -\$10 million

2) _____

- 3) Normally in the United States the relationship between nominal and real GDP for a given year is 3) _____
 A) real GDP is greater than nominal GDP because of price increases.
 B) nominal GDP equals real GDP.
 C) nominal GDP is greater than real GDP because of price decreases.
 D) nominal GDP is greater than real GDP because of price increases.

- 4) In 2014, net exports in the United States were 4) _____
 A) zero.
 B) negative.
 C) positive.
 D) greater than personal consumption expenditures.

Component	Amount (billions of dollars)
Personal consumption expenditure	3,720
Government expenditure	430
Gross investment	610
Net investment	520
Exports	650
Imports	720

- 5) Using the information in the table above, net exports equals 5) _____
 A) \$650 billion. B) \$20 billion. C) -\$70 billion. D) \$1,370 billion.
- 6) Marginally attached workers fall into which of the following population categories? 6) _____
 A) unemployed B) not in the labor force
 C) labor force D) employed
- 7) The unemployment rate is measured as 7) _____
 A) an indicator for potential inflation.
 B) an indicator to determine long-term economic growth.
 C) the percentage of people in the labor force who are unemployed.
 D) the number of people that want to work but cannot find jobs out of the entire population.
- 8) The unemployment rate 8) _____
 A) includes persons without a job who have made efforts in the last week to find a job.
 B) counts people with part-time jobs who want full-time jobs as unemployed.
 C) counts discouraged workers as unemployed.
 D) includes persons without a job, whether they are actively searching for work or not.
- 9) Suppose the labor force in Tiny Town is 100 people. If the _____ in Tiny Town is 150 people, 9) _____
 the labor force participation rate equals _____ multiplied by 100.
 A) number of employed persons; 100/250 B) working age population; 100/250
 C) number of employed persons; 100/150 D) working age population; 100/150

- 10) This type of unemployment reflects the normal amount of unemployed workers who possess skills that will enable them to find another job. 10) _____
 A) frictional unemployment B) structural unemployment
 C) cyclical unemployment D) None of the above answers is correct.
- 11) Unemployment caused by people voluntarily leaving their jobs is classified as 11) _____
 A) seasonal unemployment. B) frictional unemployment.
 C) cyclical unemployment. D) part-time unemployment.
- 12) Which of the following individuals is the best example of a structurally unemployed worker? 12) _____
 A) an individual who has been laid off from his job because of a business cycle recession
 B) an individual who quits one job in the hope of finding a better job
 C) an automobile worker who has lost her job because of an increase in automobile imports and does not have the skills currently needed by businesses
 D) a recent college graduate who has entered the labor force
- 13) Assume the inflation rate falls from 4 percent to 2 percent. This means that 13) _____
 A) real GDP is decreasing.
 B) the price level is increasing more slowly.
 C) the price level has fallen.
 D) the economy is experiencing deflation.

Year	Price index	Inflation rate (percent)
1	100	
2	117	A
3	125	B
4	120	C
5	D	8.3
6	150	E

- 14) In the table above, what inflation rate belongs in space C? 14) _____
 A) 17.0 percent B) 6.8 percent C) -4.0 percent D) 8.3 percent
- 15) If this year the price level is 135 and last year it was 125, the inflation rate is 15) _____
 A) 10 percent. B) 8 percent.
 C) 12 percent. D) none of the above.
- 16) If the CPI for this year is 220 and the CPI for last year was 215, the inflation rate is 16) _____
 A) 5 percent. B) just over 5 percent.
 C) 10 percent. D) just over 2 percent.
- 17) Suppose real GDP for a country is \$13 trillion in 2015, \$14 trillion in 2016, \$15 trillion in 2017, and \$16 trillion in 2018. Over this time period, the real GDP growth rate is 17) _____
 A) constant. B) increasing. C) negative. D) decreasing.

- 18) During 2014, the country of Economía had a real GDP of \$115 billion and the population was 0.9 billion. In 2013, real GDP was 105 billion and the population was 0.85 billion. In 2014, real GDP per person was _____
A) \$117. B) \$128. C) \$135. D) \$124.
- 19) In 2010, of the following which nations had the highest level of real GDP per person? _____
A) China B) Canada C) Mexico D) Japan
- 20) The three types of unemployment are _____
A) voluntary, involuntary, and structural. B) frictional, structural, and cyclical.
C) frictional, part-time, and involuntary. D) voluntary, part-time, and cyclical.
- 21) If we compare the four sources of spending in the economy we see that _____
A) household consumption is the smallest. B) household consumption is the largest.
C) government expenditure is the largest. D) business investment is the largest.
- 22) If real GDP per person is growing at 4 percent per year, approximately how many years will it take to double? _____
A) 17.5 B) 4 C) 8 D) 25
- 23) If a nation's population grows, then _____
A) growth in real GDP per person will be greater than the growth of real GDP.
B) growth in real GDP per person will be less than the growth of real GDP.
C) there must be an increase in real GDP per person.
D) there can be no economic growth.
- 24) Which of the following statements are CORRECT? _____
I. The average economic growth rate in real GDP per person in the United States over the last century was 5 percent per year.
II. The United States has the highest economic growth rate of any nation.
A) I only B) II only
C) both I and II D) neither I nor II
- 25) Over the past four decades _____
A) U.S. real GDP per person has increased.
B) U.S. real GDP per person has fallen below that of the other rich industrial countries.
C) the growth rate of real GDP per person in the United States has been increasing.
D) Both answers A and C are correct.
- 26) Which of the following relationships is CORRECT? _____
A) Gross Investment = Net Investment + Depreciation
B) Net Investment = Gross Investment + Depreciation
C) Depreciation = Gross Investment - Consumption expenditure
D) Consumption expenditure = Net Investment - Depreciation
- 27) The difference between gross investment and net investment is _____
A) the capital stock. B) the real interest rate.
C) depreciation. D) equal to saving.

- 28) According to the BEA, in the second quarter of 2012 purchases of new residential structures rose by 8.9 percent. Using the expenditure approach, this change increases _____
A) personal consumption expenditures.
B) gross private domestic investment.
C) government expenditure on goods and services.
D) net exports of goods and services.
- 29) Personal consumption expenditures include all of the following EXCEPT spending on _____
A) consumer nondurable goods. B) consumer services.
C) new housing. D) consumer durable goods.
- 30) An U.S. firm buys a new industrial sewing machine from a company located in France. Which of the following is TRUE? _____
I. U.S. net exports decrease.
II. U.S. investment increases.
A) only I B) only II
C) both I and II D) neither I nor II
- 31) From 1980 to 2000 the employment-to-population ratio generally _____ and from 2000 to 2014 the ratio generally _____.
A) decreased; increased B) increased; decreased
C) increased; increased D) decreased; decreased
- 32) The unemployment rate is measured as _____
A) the percentage of people in the labor force who are unemployed.
B) an indicator for potential inflation.
C) the number of people that want to work but cannot find jobs out of the entire population.
D) an indicator to determine long-term economic growth.
- 33) The employment-to-population ratio equals _____
A) $(\text{number of people with full-time jobs})/(\text{labor force}) \times 100$.
B) $(\text{labor force})/(\text{working-age population}) \times 100$.
C) $(\text{number of people employed})/(\text{labor force}) \times 100$.
D) $(\text{number of people employed})/(\text{working-age population}) \times 100$.
- 34) An observer of the economy notices that over the past 12 months the unemployment rate has fallen from 7.0 percent to 6.5 percent. During the same time, the rate of growth in real GDP has been positive. From this information we might conclude that _____
A) inflation is not occurring.
B) an expansion is occurring in the economy.
C) a trough in the business cycle will soon be reached.
D) a recession is in progress.
- 35) In September 2012 the U.S. unemployment rate was 7.8 percent while the natural unemployment rate was 6 percent. The U.S. economy _____
A) had a positive output gap. B) was at full employment.
C) had an output gap of zero. D) had a negative output gap.

- 36) When real GDP is _____ potential GDP, the unemployment rate is _____ the natural unemployment rate. 36) _____
A) less than; equal to B) greater than; greater than
C) greater than; less than D) equal to; greater than
- 37) The cost of inflation to society includes 37) _____
I. the opportunity costs of resources used by people to protect themselves against inflation.
II. the diversion of productive resources to forecasting inflation.
A) I only B) II only
C) both I and II D) neither I nor II
- 38) If last year's price level was 100 and this year's price level is 114, over the year the inflation rate has been 38) _____
A) 114 percent. B) 14 percent. C) 100 percent. D) 12 percent
- 39) Last year's price level was 120 and since then there has been a 5 percent inflation. This year's price level is 39) _____
A) 125. B) 130.
C) 126. D) none of the above.

Answer Key

Testname: SAMPLE_TEST2

- 1) C
- 2) B
- 3) D
- 4) B
- 5) C
- 6) B
- 7) C
- 8) A
- 9) D
- 10) A
- 11) B
- 12) C
- 13) B
- 14) C
- 15) B
- 16) D
- 17) D
- 18) B
- 19) B
- 20) B
- 21) B
- 22) A
- 23) B
- 24) D
- 25) A
- 26) A
- 27) C
- 28) B
- 29) C
- 30) C
- 31) B
- 32) A
- 33) D
- 34) B
- 35) D
- 36) C
- 37) C
- 38) B
- 39) C